

# Cholamandalam Investment & Finance Company Ltd (CHOLAFIN)

Sector: Financials | Financial Intelligence tearsheet | Latest FY24 (2024-03)

## 1. Core Performance Ratios (Latest Year)

| Metric                        | Value  | Benchmark / Status                 |
|-------------------------------|--------|------------------------------------|
| Return on Equity (ROE)        | 17.46% | ROE > 15% is healthy               |
| Return on Capital (ROCE)      | 19.20% | Relative sector-adjusted benchmark |
| Net Profit Margin (NPM)       | 17.85% | Core net earnings efficiency       |
| Debt to Equity (D/E)          | 6.86   | Financial leverage ratio           |
| Interest Coverage Ratio (ICR) | 21.21  | Debt service capacity cushion      |
| Asset Turnover                | 0.12   | Asset utilization intensity        |

## 2. Time-Series Income Statement (P&L; Trend)

| Year    | Revenue / Sales (Cr) | Net Profit (Cr) | EPS (■) |
|---------|----------------------|-----------------|---------|
| 2024-03 | ■19,163.0            | ■3,420.0        | ■41.00  |
| 2023-03 | ■12,884.0            | ■2,665.0        | ■32.00  |
| 2022-03 | ■10,148.0            | ■2,154.0        | ■26.00  |
| 2021-03 | ■9,583.0             | ■1,521.0        | ■19.00  |
| 2020-03 | ■8,712.0             | ■1,054.0        | ■13.00  |
| 2019-03 | ■7,108.0             | ■1,197.0        | ■15.00  |

### 3. Balance Sheet & Asset Structure

| Year    | Fixed Assets (Cr) | Current Assets (Cr) | Borrowings (Cr) |
|---------|-------------------|---------------------|-----------------|
| 2024-09 | ■1,669.0          | ■174,489.0          | ■157,943.0      |
| 2024-03 | ■1,563.0          | ■151,075.0          | ■134,475.0      |
| 2023-03 | ■403.0            | ■109,602.0          | ■97,358.0       |
| 2022-03 | ■259.0            | ■80,127.0           | ■69,174.0       |
| 2021-03 | ■228.0            | ■72,823.0           | ■63,730.0       |
| 2020-03 | ■283.0            | ■63,732.0           | ■55,005.0       |

### 4. Cash Flow & Capital Allocation Pattern

| Year    | CFO (Ops)  | CFI (Invest) | CFF (Finance) |
|---------|------------|--------------|---------------|
| 2024-03 | ■-35,683.0 | ■-2,855.0    | ■38,471.0     |
| 2023-03 | ■-27,105.0 | ■-2,148.0    | ■27,466.0     |
| 2022-03 | ■-5,571.0  | ■1,640.0     | ■5,150.0      |
| 2021-03 | ■-8,848.0  | ■-1,746.0    | ■8,707.0      |
| 2020-03 | ■-2,075.0  | ■-54.0       | ■2,452.0      |
| 2019-03 | ■-9,317.0  | ■-11.0       | ■12,191.0     |

### 5. Qualitative Analysis (Strengths & Risks)

| ■ Strengths (Pros)                                                                                                                                                                                                                                                                    | ■ Risk Factors (Cons)                                                                                                                                                                                                                                                                                                                                                                                            |
|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <ul style="list-style-type: none"><li>• Robust long-term top-line growth with a 5-year Sales CAGR of 21.9%.</li><li>• Accelerated earnings expansion with a 5-year PAT CAGR of 23.4%.</li><li>• Excellent debt servicing capacity with an Interest Coverage Ratio of 21.2x.</li></ul> | <ul style="list-style-type: none"><li>• Latest free cash flow is negative (■-38,538.0 Cr), requiring external capital or cash drawdowns.</li><li>• Lower earnings quality with a CFO/PAT ratio of only -10.43, indicating accrual drag.</li><li>• Premium asset pricing with a high Price-to-Book multiple of 10.4.</li><li>• Asset-heavy or inefficient operations with a low asset turnover of 0.12.</li></ul> |